

SAMPLE FIRM - CASE RESEARCH TEAM

In re Vantage Retail Group

Case Summary Memorandum

PRACTICE AREA

Bankruptcy - Lease Assignment

MATTER NO.

2026-BK-2207

STATUS

Active - research in progress

Parties

- Debtor: Vantage Retail Group, Inc. ("Vantage"), a 42-store regional apparel retailer, Chapter 11 debtor-in-possession.
- Objecting Party: Lexford Mall Properties, LLC ("Lexford"), landlord of Vantage's flagship location.

Procedural Posture

Vantage filed a motion under 11 U.S.C. Sec. 365 to assume and assign its flagship-store lease to an incoming discount retailer as part of its reorganization. Lexford has objected; the assumption/assignment hearing is scheduled before the bankruptcy court.

Statement of Facts

Vantage's flagship lease contains a clause barring assignment without landlord consent, which Lexford has withheld. The proposed assignee operates roughly 60 stores nationally, carries a lower credit rating than Vantage did pre-petition, and sells a different product mix than the lease's permitted-use clause contemplates. Vantage has offered a signed corporate guaranty and three months' rent in escrow as adequate assurance. Lexford argues the assignee's weaker financials and different retail category will depress foot traffic for co-tenants.

Legal Issues Presented

1. Whether Vantage's proposed guaranty and escrow constitute "adequate assurance of future performance" under 11 U.S.C. Sec. 365 despite the assignee's lower credit profile.
2. Whether a lease's anti-assignment clause can block assignment at all once a Chapter 11 case is pending, or whether Sec. 365 overrides it subject only to the adequate-assurance requirement.

Relevant Authority

- 11 U.S.C. Sec. 365 (Executory Contracts and Unexpired Leases) - lets a debtor-in-possession assume, reject, or assign a lease notwithstanding an anti-assignment clause, so long as the counterparty receives adequate assurance of future performance.
- Firm Client Intake Policy (internal) - conflict-check and waiver requirements applicable before the firm could take on adverse work against a former client in this matter.

Current Status

Assumption/assignment hearing pending. Research is focused on what evidentiary showing satisfies "adequate assurance" when the assignee's credit profile is weaker than the debtor's, and on the scope of Sec. 365's override of anti-assignment clauses.

the matter and facts are invented.